FROM: Francisco Rodriguez, Financial Analyst

DATE: February 2026

RE: Leveraged Buyout of Dick's Sporting Goods, Inc. (NYSE: DKS)

EXECUTIVE SUMMARY

We present a leveraged buyout of Dick's Sporting Goods, Inc. (DKS), the last major national big-box sporting goods retailer following the bankruptcies of Sports Authority (2016) and Modell's (2020). At an entry multiple of 9.0x LTM EBITDA, the transaction values DKS at a $16.8B enterprise value (including refinancing $300M of existing net debt), funded with $10.3B of Term Loan B debt (5.5x leverage) and $6.9B of sponsor equity. The investment thesis centers on a private label mix shift that expands EBITDA margins from 13.9% to 16.5% over a 5-year hold, supported by free cash flow sweeps that deleverage the business from 5.5x at entry to 2.2x at exit. At a 10.5x exit multiple — justified by materially improved earnings quality — the transaction delivers a **3.3x MOIC and 27.0% IRR** at Year 5.

COMPANY OVERVIEW

Metric	LTM Value
Revenue	$13,440M
EBITDA	$1,870M
EBITDA Margin	13.9%
Stores	~850 locations
Sector	Consumer Discretionary — Big-Box Sporting Goods
HQ	Coraopolis, Pennsylvania

DKS operates the largest specialty sporting goods retail platform in the United States, with broad assortment across team sports, fitness, outdoor, and footwear. Following the exit of all major national competitors, DKS has consolidated its market position and continues to invest in differentiated retail formats (Dick's House of Sport) and proprietary brand development (DSG, Alpine Design, Calia).

INVESTMENT THESIS

- **Market Consolidation**

  DKS is the sole surviving national big-box platform in a $50B+ addressable market. Sports Authority (2016) and Modell's (2020) are gone with no credible replacement. Market share gains are structural and continue to accrete with each passing year.

- **Private Label Margin Expansion**

  DSG and Alpine Design carry 500–800bps EBITDA margin premium versus national brands (Nike, Adidas, Under Armour). Growing private label penetration from ~15% toward 20%+ of revenue mix is the primary operational thesis, driving ~260bps of margin expansion across the hold period — from 13.9% at entry to 16.5% at exit.

- **Experiential Retail Differentiation**

  The Dick's House of Sport flagship format — featuring climbing walls, batting cages, TrackMan golf simulators, and in-store services — drives materially higher average unit revenue and traffic that e-commerce competitors cannot replicate.

- **Cash Flow Deleveraging**

  Free cash flow sweeps against the Term Loan B generate $4.1B in cumulative debt paydown across the hold period, reducing net debt from $10.3B to $6.2B. Compounding equity value creation through simultaneous EBITDA growth and debt reduction supports the exit multiple re-rating to 10.5x.

TRANSACTION STRUCTURE

Term Loan B (5.5x)	$10,285	Equity Purchase Price	$16,530
Revolver (drawn)	$0	Refinance Existing Net Debt	$300
Sponsor Equity	$6,882	Transaction Fees (2%)	$337
Total Sources	**$17,167**	**Total Uses**	**$17,167**

Debt Tranche	Amount	Rate	Amortization	Maturity
Term Loan B	$10,285M	SOFR + 350bps (7.20%)	1% per annum	7 years
Revolving Credit Facility	$750M capacity	SOFR + 275bps (6.45%)	Bullet	5 years

FINANCIAL PROJECTIONS ($M)

	LTM	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	$13,440	$13,978	$14,537	$15,264	$16,027	$16,828
Growth %	—	4.0%	4.0%	5.0%	5.0%	5.0%
EBITDA	$1,870	$1,957	$2,181	$2,366	$2,564	$2,777
Margin %	13.9%	14.0%	15.0%	15.5%	16.0%	16.5%
D&A	($363)	($377)	($392)	($412)	($433)	($454)
EBIT	$1,507	$1,579	$1,788	$1,954	$2,132	$2,322
Interest Exp.	—	($743)	($708)	($660)	($602)	($531)
Net Income	—	$627	$810	$970	$1,147	$1,343
Levered FCF	—	$386	$563	$709	$878	$1,066
TLB Balance	$10,285	$9,797	$9,131	$8,319	$7,338	$6,170

Note: Interest computed on beginning-of-period balance. Cash sweep applied annually against all available levered free cash flow.

RETURNS ANALYSIS

	Value
Exit Year EBITDA	$2,777M
Exit EV / EBITDA Multiple	10.5x
Exit Enterprise Value	$29,155M
Less: Net Debt at Exit	($6,170M)
Less: Exit Fees (1%)	($292M)
Equity Proceeds to Sponsor	$22,693M
Initial Equity Investment	$6,882M
MOIC	**3.30x**
IRR (5-Year Hold)	**27.0%**

SENSITIVITY — IRR BY EXIT MULTIPLE SCENARIO

Scenario	Exit Multiple	Exit TEV	Net Debt	Equity Proceeds	MOIC	IRR

Bull Case	11.5x	$31,931M	$6,170M	$25,442M	3.7x	29.9%
Base Case ★	10.5x	$29,155M	$6,170M	$22,693M	3.3x	27.0%
Flat (= entry)	9.0x	$24,990M	$6,170M	$18,570M	2.7x	22.0%
Downside	7.0x	$19,436M	$6,170M	$13,072M	1.9x	13.7%
Stress	6.0x	$16,660M	$6,170M	$10,323M	1.5x	8.4%

★ Base case assumes entry at 9.0x, exit at 10.5x reflecting business quality improvement from private label margin expansion. Net debt held at the Year 5 base case level; full entry × exit grid in the model's Sensitivity tab.

KEY RISKS & MITIGANTS

• Private Label Thesis Failure

If DSG / Alpine Design fail to gain traction and consumers remain loyal to national brands, EBITDA margins remain flat at ~14%, cutting Year 5 EBITDA and debt paydown and pushing returns well below the base case. Mitigant: private label penetration is already tracking above 15% and accelerating; DKS controls shelf space allocation.

• Floating Rate Exposure

The $10.3B TLB is priced at SOFR + 350bps. A 150bps SOFR increase adds ~$154M of annual interest, reducing free cash flow and slowing debt sweeps. Mitigant: strong FCF generation provides meaningful buffer; interest rate hedges are standard practice on large TLBs.

• Consumer Discretionary Cycle

DKS is 100% consumer discretionary. A recession compresses traffic and ticket simultaneously at peak leverage. Mitigant: DKS's consolidation-driven market position means they gain share even in downturns; 5.5x leverage provides more cushion than the 7x+ that failed at Sports Authority.

• Multiple Compression

Entry at 9.0x with a 10.5x exit assumption requires some re-rating. If markets de-rate consumer retail and exit is forced at 7.0x, IRR falls to ~14%. Mitigant: EBITDA growth and cash sweeps provide substantial cushion; the deal still returns capital at a 7.0x exit.

RECOMMENDATION

We recommend proceeding with the leveraged buyout of Dick's Sporting Goods at an entry multiple of 9.0x LTM EBITDA. The transaction offers a differentiated thesis anchored in structural market consolidation and a clear operational playbook — private label margin expansion — that is already in motion. The deal generates meaningful returns across a wide range of exit scenarios (~14% IRR even at a 7.0x exit multiple), and the cash sweep mechanism creates compounding equity value creation that is not dependent on financial engineering alone. We recommend authorization to proceed to exclusivity.

All projections are illustrative and based on publicly available information. Past performance is not indicative of future results. | Francisco Rodriguez | February 2026 (revised Oct 2026: existing net debt refinanced in sources & uses) | github.com/Azyo1